KAKUZI LIMITED
INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2011

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RESULTS

The profit before tax for the period was Ksh 193.5 million which is similar to last year (Ksh 194.5 million). The company continues to maintain a satisfactory cash position and strong balance sheet.

OPERATIONS

Much lower rainfall has been experienced on all our farms as compared with last year, but it is pleasing to report that we have been able to maintain adequate water resources in our dams in Makuyu to meet all irrigation needs. The early outgrower Avocado Fuerte season at 55 containers was the same as last year. The start of season prices were satisfactory, however large quantities of Avocados arrived in the European market during the second half of the season and prices fell drastically. Net financial returns improved over last year. The avocado Hass season has started well and we have shipped 89 containers to the end of July (117 containers 2010). Prices to date have been satisfactory and now that the market in North America has been opened for Peruvian Avocados it is hoped that demand for our product in Europe will reach expectations. Shipping logistics and safety remain a concern as does the poor quality of product exported from Kenya by some smaller exporters. This poor quality fruit can, if not constrained, have an adverse impact on the good name Kenya currently has for quality Avocado exports.

Due to the drier weather conditions, our tea production was 31% down on last year levels. Fortunately, prices have remained firm and the depreciating Kenya Shilling has assisted in maintaining reasonable profitability, but this is below last years levels.

Whenever possible many pastoralists in drought stricken areas have off loaded their cattle stocks and the market prices for beef fell significantly, which has adversely impacted on our livestock operation. Our own fresh pineapples yielded well and with improved prices over last year's levels gave satisfactory returns for the size of the operation. Forestry operations continue with the necessary investment to realize commercial yields and returns when mature.

Our Macadamia plantings are now at 444 hectares. It is anticipated that the financial reserves we have built up over the past years will enable us to meet our long term development plans in this area.

The retrospective claim made by Del Monte Kenya Limited relating to an alleged error in calculating the sale price of the product in 2007 and 2008 has now been put to arbitration. As already advised to Shareholders, the claim by Del Monte amounts to Ksh 109 million. Should the arbitration be ruled against us, there will be a very negative impact on cash flow which could affect the present development initiatives.

PROSPECTS

With current severe recessionary trends in Europe, it is difficult to quantify the demand and pricing of our Avocados although to date both factors have been positive. We hope for improved yields on our tea during the second half of the year and providing prices at the current exchange rates hold, a satisfactory return can be expected. Inflationary factors together with the shortage of power supply to our operations from time to time are starting to have a significant impact on our costs of production.

DIVIDEND

In view of matters raised above, the Directors do not recommend a dividend for the first half of the year.

K W TARPLEE
CHAIRMAN
26 August 2011

Consolidated statement of comprehensive income

	Notes	6 Months to 30 June 2011 Shs'000	6 Months to 30 June 2010 Shs'000
Sales	3	872,073	808,271
Gains arising from changes in fair value less cost to sell of biological assets	10	9,425	16,635
		881,498	824,906
Cost of production		(605,993)	(548,592)
Gross profit	3	275,505	276,314
Other income	4	13,318	13,847
Distribution costs	3	(103,805)	(105,277)
Operating profit		185,018	184,884
Finance income	5	8,516	9,729
Finance cost	5	-	(115)
Profit before income tax		193,534	194,498
Income tax expense	6	(61,949)	(68,027)
Profit for the period (of which Shs 61,244,599 has been dealt with in the accounts of the company)		131,585	126,471
Other comprehensive income		-	-
Total comprehensive income		131,585	126,471
Profit for the period attributable to:			
Equity holders of the company		85,286	82,777
Non-controlling interest		46,299	43,694
Total comprehensive income attributable to:			
Equity holders of the company		85,286	82,777
Non-controlling interest		46,299	43,694
		Shs	**Shs**
Earnings per share attributable to equity holders of the company:			
Basic and diluted earnings per stock unit	7	4.35	4.22

Consolidated statement of financial position

	Notes	30 June 2011 Shs'000	30 June 2010 Shs'000	Audited 31 December 2010 Shs'000
EQUITY				
Share capital		98,000	98,000	98,000
Retained earnings		1,933,465	1,745,148	1,848,179
Proposed dividends		-	-	49,000
Attributable to company's equity holders		2,031,465	1,843,148	1,995,179
Non-controlling interest		239,187	211,492	215,325
Total equity		2,270,652	2,054,640	2,210,504
Non-current liabilities				
Deferred income tax		574,247	567,469	565,509
Retirement benefit obligations		63,031	54,620	58,899
		637,278	622,089	624,408
		2,907,930	2,676,729	2,834,912
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	613,202	610,181	613,415
Biological assets	10	1,842,883	1,722,188	1,779,436
Prepaid operating lease rentals		8,103	8,108	8,108
Non-current receivables		21,827	22,590	22,062
		2,486,015	2,363,067	2,423,021
Current assets				
Inventories		183,404	156,340	140,355
Receivables and prepayments		147,108	202,542	122,557
Current income tax recoverable		-	-	3,037
Cash and cash equivalents	12	525,252	316,975	529,621
		855,764	675,857	795,570
Current liabilities				
Payables and accrued expenses		378,392	272,568	372,280
Current income tax payable		43,819	60,826	-
Borrowings	12	-	21,140	-
Retirement benefit obligations		11,638	7,661	11,399
		433,849	362,195	383,679
Net current assets		421,915	313,662	411,891
		2,907,930	2,676,729	2,834,912

Company statement of financial position

	Notes	30 June 2011 Shs'000	30 June 2010 Shs'000	Audited 31 December 2010 Shs'000
EQUITY				
Share capital		98,000	98,000	98,000
Retained earnings		1,796,848	1,636,489	1,735,604
Proposed dividends		-	-	49,000
Attributable to company's equity holders		1,894,848	1,734,489	1,882,604
Non-current liabilities				
Deferred income tax		476,872	482,274	473,420
Retirement benefit obligations		39,706	35,430	36,480
		516,578	517,704	509,900
		2,411,426	2,252,193	2,392,504
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	537,540	545,584	543,292
Biological assets	10	1,566,215	1,476,052	1,503,436
Prepaid operating lease rentals		4,414	4,419	4,419
Investments in subsidiaries		115,536	115,536	115,536
Non-current receivables		18,762	15,565	15,415
		2,242,467	2,157,156	2,182,098
Current assets				
Inventories		96,666	79,900	41,568
Receivables and prepayments		151,160	182,213	173,366
Cash and cash equivalents	12	214,542	32,335	217,866
		462,368	294,448	432,800
Current liabilities				
Payables and accrued expenses		268,988	158,350	210,807
Current income tax payable		17,777	15,856	4,943
Borrowings	12	-	21,140	-
Retirement benefit obligations		6,644	4,065	6,644
		293,409	199,411	222,394
Net current assets		168,959	95,037	210,406
		2,411,426	2,252,193	2,392,504

Consolidated statement of changes in equity

	Attributable to company's equity holders					
	Share capital Shs'000	**Retained earnings Shs'000**	**Proposed dividend Shs'000**	**Total Shs'000**	**Non-controlling interest Shs'000**	**Total equity Shs'000**
Period ended 30 June 2010						
At start of period	98,000	1,660,587	49,000	1,807,587	157,022	1,964,609
Total comprehensive income for the period:						
Profit for the period	-	82,777	-	82,777	43,694	126,471
Other comprehensive income	-	-	-	-	-	-
Total	-	82,777	-	82,777	43,694	126,471
Contributions by and distributions to owners:						
Dividend paid to non-controlling interest	-	-	-	-	(25,541)	(25,541)
Part disposal of a subsidiary (note 11)	-	1,784	-	1,784	36,317	38,101
Dividends:						
- Final for 2009	-	-	(49,000)	(49,000)	-	(49,000)
Total	-	1,784	(49,000)	(47,216)	10,776	(36,440)
At end of period	98,000	1,745,148	-	1,843,148	211,492	2,054,640
Period ended 30 June 2011						
At start of period	98,000	1,848,179	49,000	1,995,179	215,325	2,210,504
Total comprehensive income for the period:						
Profit for the period	-	85,286	-	85,286	46,299	131,585
Other comprehensive income	-	-	-	-	-	-
Total	-	85,286	-	85,286	46,299	131,585
Contributions by and distributions to owners:						
Dividend paid to non-controlling interest	-	-	-	-	(22,437)	(22,437)
Part disposal of a subsidiary (note 11)	-	-	-	-	-	-
Dividends:						
- Final for 2010	-	-	(49,000)	(49,000)	-	(49,000)
Total	-	-	(49,000)	(49,000)	(22,437)	(71,437)
At end of period	98,000	1,933,465	-	2,031,465	239,187	2,270,652

Company statement of changes in equity

	Share capital Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
Period ended 30 June 2010				
At start of period	98,000	1,560,453	49,000	1,707,453
Total comprehensive income for the period:				
Profit for the period	-	76,036	-	76,036
Other comprehensive income	-	-	-	-
Total	-	76,036	-	76,036
Contributions by and distributions to owners:				
Dividends:				
- Final for 2009	-	-	(49,000)	(49,000)
Total	-	-	(49,000)	(49,000)
At end of period **Period ended 30 June 2010**	98,000	1,636,489	-	1,734,489
Period ended 30 June 2011				
At start of period	98,000	1,735,604	49,000	1,882,604
Total comprehensive income for the period:				
Profit for the period	-	61,244	-	61,244
Other comprehensive income	-	-	-	-
Total	-	61,244	-	61,244
Contributions by and distributions to owners:				
Dividends:				
- Final for 2010	-	-	(49,000)	(49,000)
Total	-	-	(49,000)	(49,000)
At end of period	98,000	1,796,848	-	1,894,848

Consolidated statement of cash flows

	Notes	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000
Operating activities			
Cash generated from operations	14	189,706	174,730
Interest received		8,516	9,729
Interest paid		-	(115)
Income tax paid		(6,355)	(59,645)
Net cash from operating activities		191,867	124,699
Investing activities			
Purchase of property, plant and equipment	9	(29,456)	(31,967)
Purchase of biological assets and development	10	(97,187)	(104,529)
Proceeds from disposal of property, plant and equipment		1,844	1,841
Proceeds from sale of shares in subsidiary	11	-	38,101
Net cash used in investing activities		(124,799)	(96,554)
Financing activities			
Payments on long-term borrowings			-
Dividend paid to company's shareholders		(49,000)	(49,000)
Dividend paid to non-controlling interest		(22,437)	(25,541)
Net cash used in financing activities		(71,437)	(74,541)
Decrease in cash and cash equivalents		(4,369)	(46,396)
Movement in cash and cash equivalents			
At start of period		529,621	342,231
Decrease		(4,369)	(46,396)
At end of period	12	525,252	295,835

Notes

1. GENERAL INFORMATION

Kakuzi Limited is incorporated in Kenya under the Kenyan Companies Act as a public limited liability company, and is domiciled in Kenya.

2. BASIS OF PREPARATION

a) The interim financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The interim financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and prepared under the historical cost convention as modified by the carrying of biological assets and agricultural produce at fair values less costs to sell.

   The preparation of interim financial statements in conformity with IFRS requires the use of estimates and assumptions. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

b) The accounting policies used in the preparation of the interim financial statements are consistent with those used in the annual financial statements for the year ended 31 December 2010 unless otherwise stated.

c) Costs that occur unevenly during the financial year are anticipated or deferred in the interim only if it would be also appropriate to anticipate or defer such costs at the end of the financial year.

d) Income tax expense is recognised based on the annual income tax rate expected for the full financial year. The annual tax rate used for 2011 is 30% (2010 was 30%).

e) These unaudited interim financial statements should be read in conjunction with the 2010 annual financial statements.

f) Where necessary, comparative figures have been adjusted to conform to the presentation of the current year.

Notes (continued)

3. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Executive Directors that are used to make strategic decisions.

The Group operates in two geographical areas in Kenya, Makuyu and Nandi Hills under several operating segments. The principal operating segments currently consist of Avocados and Tea. Macadamia will become a reportable operating segment in future (currently under all other segments) as it is expected to materially contribute to Group sales in the future. Other segments derive their sales from forestry, livestock, fresh pineapples and joint projects and are included under "all other segments" as they individually fall below the threshold of 10% of Group sales.

Segmental assets consist primarily of property, plant and equipment, biological assets, inventories, receivables and prepayments. Unallocated assets are property, plant and equipment, inventories relating to Main Office and Engineering and tax recoverable. Segmental liabilities consist primarily of borrowings, payables and accrued expenses. Unallocated liabilities are taxes, borrowings and non-current liabilities. The segment information for the reportable segments for the six month period ended 30 June 2011 and 30 June 2010 is as follows:

	2011	2010	2011	2010	2011	2010	2011	2010
	Tea		Avocados		All other segments		Consolidated	
		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Sales								
Sales to external customers	591,091	596,701	152,177	110,264	128,805	101,306	872,073	808,271
Comprising:								
Major external customers sales	260,836	216,725	119,948	108,011	-	-	380,784	324,736
All other external customers sales	330,255	379,976	32,229	2,253	128,805	101,306	491,289	483,535
	591,091	596,701	152,177	110,264	128,805	101,306	872,073	808,271
Geographical analysis:								
United Kingdom	211,481	198,210	-	-	-	-	211,481	198,210
Continental Europe	47,991	22,344	119,948	108,011	-	-	167,939	130,355
Kenya	236,331	296,928	32,229	2,253	128,805	101,306	397,365	400,487
Others	95,288	79,219	-	-	-	-	95,288	79,219
	591,091	596,701	152,177	110,264	128,805	101,306	872,073	808,271

Notes (continued)

3. SEGMENTAL REPORTING (continued)

	2011	2010	2011	2010	2011	2010	2011	2010
	Tea		Avocados		All other segments		Consolidated	
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Profit/(loss)								
Gross profit /(loss) before depreciation and fair value changes in biological assets	199,526	228,924	98,895	56,279	(9,481)	(7,278)	288,940	277,925
Depreciation charge	(6,665)	(4,976)	(9,363)	(8,499)	(6,832)	(4,771)	(22,860)	(18,246)
Changes in fair value of biological assets	-	-	(3,487)	(126)	12,912	16,761	9,425	16,635
Gross profit/(loss)	192,861	223,948	86,045	47,654	(3,401)	4,712	275,505	276,314
Distribution costs	(37,182)	(38,504)	(66,623)	(66,773)	-	-	(103,805)	(105,277)
Segment profit/(loss)	155,679	185,444	19,422	(19,119)	(3,401)	4,712	171,700	171,037
Other unallocated income and expenses								
Other income							13,318	13,847
Interest income							8,516	9,729
Finance costs							-	(115)
Profit/(loss) before income tax	155,679	185,444	19,422	(19,119)	(3,401)	4,712	193,534	194,498
Income tax expense	(49,817)	(32,547)	(6,215)	4,221	(5,917)	(39,701)	(61,949)	(68,027)
Profit/(loss) for the period	105,862	152,897	13,207	(14,898)	(9,318)	(34,989)	131,585	126,471
Assets (all located in Kenya)								
Segment assets	1,158,439	910,957	995,885	988,808	835,478	826,749	2,989,802	2,726,514
Unallocated assets							351,977	312,410
							3,341,779	3,038,924
Liabilities								
Segment liabilities	280,184	202,683	17,759	21,740	36,070	57,739	334,013	282,162
Unallocated liabilities							99,836	80,033
							433,849	362,195
Additions								
Property, plant and equipment	11,934	3,320	4,677	8,512	12,845	20,135	29,456	31,967
Biological assets	-	-	74,351	71,479	22,836	33,050	97,187	104,529
	11,934	3,320	79,028	79,991	35,681	53,185	126,643	136,496

Notes (continued)

	Group	
	6 months to 30 June 2011 Shs'000	**6 months to 30 June 2010 Shs'000**
4. OTHER INCOME		
Net foreign exchange (loss)/gain, other than on borrowings	(767)	5,102
Gain on disposal of property, plant and equipment	177	649
Rental income	5,769	3,098
Sundry	8,139	4,998
	13,318	13,847
5. NET FINANCE INCOME (COSTS)		
Finance income		
Interest income on short term bank deposits	8,516	9,729
Finance cost		
Interest expense on bank borrowing	-	(115)
	8,516	9,614
6. INCOME TAX		
Current income tax	53,212	55,069
Deferred income tax	8,737	12,958
Income tax expense	61,949	68,027

7. BASIC AND DILUTED EARNINGS PER STOCK UNIT

Basic and diluted earnings per stock unit are calculated on the profit attributable to the members of Kakuzi Limited and on the 19,599,999 stock units in issue at 30 June 2011 and 30 June 2010.

The company had no potentially dilutive stock units outstanding at 30 June 2011 or 30 June 2010.

8. DIVIDEND

The directors do not recommend the payment of an interim dividend.

Notes (continued)

9. CAPITAL EXPENDITURE

	Group		Company	
	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000
Property, plant and equipment				
Opening net book amount	613,415	604,446	543,292	538,000
Capital expenditure - additions	29,456	31,967	19,033	28,769
Disposals	(1,195)	(1,192)	(1,195)	-
Depreciation	(28,474)	(25,040)	(23,590)	(21,185)
Closing net book amount	613,202	610,181	537,540	545,584

Notes (continued)

10. BIOLOGICAL ASSETS

Changes in carrying amounts of biological assets comprise :-

	Group			Company		
	Livestock Shs'000	**Permanent plantings Shs'000**	**Total Shs'000**	**Livestock Shs'000**	**Permanent plantings Shs'000**	**Total Shs'000**
Period ended 30 June 2010						
At 1 January 2010	110,175	1,512,894	1,623,069	110,175	1,264,494	1,374,669
Increase due to purchases and development	7,748	96,781	104,529	7,748	95,781	103,529
Gains arising from changes in fair value less costs to sell	12,587	4,048	16,635	12,587	4,048	16,635
Decrease due to harvest and sales	(8,829)	(13,216)	(22,045)	(8,829)	(9,952)	(18,781)
At 30 June 2010	121,681	1,600,507	1,722,188	121,681	1,354,371	1,476,052
Period ended 30 June 2011						
At 1 January 2011	121,527	1,657,909	1,779,436	121,527	1,381,909	1,503,436
Increase due to purchases and development	1,379	95,808	97,187	1,379	95,140	96,519
Gains/(loss) arising from changes in fair value less costs to sell	12,912	(3,487)	9,425	12,912	(3,487)	9,425
Decrease due to harvest and sales	(32,472)	(10,693)	(43,165)	(32,472)	(10,693)	(43,165)
At 30 June 2011	103,346	1,739,537	1,842,883	103,346	1,462,869	1,566,215

Notes (continued)

10. BIOLOGICAL ASSETS (continued)

Permanent plantings, which comprise tea, timber plantations, avocado, pineapple, macadamia, and livestock are carried at fair value less costs to sell.

The fair value of avocado is determined based on the discounted net present values of expected net cash flow, discounted at a current market determined pre-tax rate of 17.5% per annum. The key assumptions made concerning the future are as follows:

- projected lifespan of 25 years
- climatic condition will remain the same
- the market price will remain constant
- no account has been taken of inflation

The fair value of macadamia, as little biological transformation has taken place, is determined based on cost.

The fair value of other permanent plantings, where meaningful market-determined prices exist, is determined by external independent valuation based on recent market transaction prices.

For permanent plantings, decrease due to harvest and sales is applicable to timber plantations and pineapple only.

The fair value of livestock is determined based on market prices of livestock of similar age, breed and genetic merit.

11. CHANGE IN OWNERSHIP INTERESTS IN SUBSIDIARY

The non-controlling interest shareholding in Siret Tea Company Ltd as at 30 June 2011 stands at 49.5% (30 June 2010: 49.5%). No shareholding sale transaction during the period.

	Group	
	6 months to 30 June 2011 Shs'000	**6 months to 30 June 2010 Shs'000**
Sale of proceeds	-	38,101
Related carrying value of investment	-	(36,317)
Effect of change in ownership interests accounted for in equity	-	1,784

EPK Outgrowers Empowerment project Company Limited has the option at acquire all (but not part only) of the remaining 50.5% shareholding in Siret Tea Company Limited by 31 December 2013.

Notes (continued)

12. CASH AND CASH EQUIVALENTS

Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position. For the purposes of the cash flow statement, cash and cash equivalents comprise the following: -

	Group		Company	
	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000
Cash at bank and in hand	525,252	316,975	214,542	32,335
Bank overdrafts	-	(21,140)	-	(21,140)
	525,252	295,835	214,542	11,195
Borrowings comprise				
Bank overdrafts	-	21,140	-	21,140
	-	21,140	-	21,140

13. CAPITAL COMMITMENTS

	Group		Company	
	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000	6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000
Capital expenditure contracted for at the statement of financial position date but not recognized in the consolidated interim financial statements is as follows:-				
Property, plant and equipment	19,072	17,292	7,343	11,945
Biological assets	-	427	-	427
Total	19,072	17,719	7,343	12,372

Notes (continued)

14. CASH GENERATED FROM OPERATIONS

	Notes	Group 6 months to 30 June 2011 Shs'000	6 months to 30 June 2010 Shs'000
Profit before income tax		193,534	194,498
Adjustments for:			
Interest income	4	(8,516)	(9,729)
Interest expense	5	-	115
Depreciation	9	28,474	25,040
Amortisation of prepaid operating lease rentals		5	9
Profit on disposal of property, plant and equipment		(649)	(649)
Gains arising from changes in fair value less estimated point-of-sale costs of biological assets	10	(9,425)	(16,635)
Decrease in fair value of biological assets due to sales and harvest	10	43,165	22,045
Changes in working capital			
- inventories		(43,049)	(8,249)
- receivables and prepayments		(24,316)	(77,831)
- payables and accrued expenses		6,112	41,154
- retirement benefit obligations		4,371	4,962
Cash generated from operations		189,706	174,730